

CV-22-005038 COUNTY OF STANISLAUS vs SHAIBI, YEHIA AHMED QASSEM – a) Plaintiff County of Stanislaus’s Motion Pursuant to Code of Civil Procedure Section 1260.040 for Determination of Legal Issues Regarding Defendant Lion’s Market’s Entitlement to Claim Loss of Business Goodwill – GRANTED. b) Plaintiff’s Motion for Terminating and Monetary Sanctions Against Defendant Lion’s Market and/or its Counsel –

County: stanislaus

Division: Civil Law and Motion

Department: 24

Hearing date: 2012-04-02

Motion: a) GRANTED. A business owner is entitled to a jury trial on the amount of goodwill lost by a taking only if he or she first establishes, as a threshold matter, that the business had goodwill to lose. *People ex rel. Dept. of Transportation v. Dry Canyon Enterprises, LLC* (2012) 211 Cal. App. 4th 486, 491; *City & Cnty. of San Francisco v. Coyne* (2008) 168 Cal. App. 4th 1515, 1522-1523. Whether the qualifying conditions for compensation for loss of goodwill in eminent domain proceedings have been met is a matter for the trial court to resolve, and only if the court finds these conditions exist does the remaining issue of the value of the goodwill loss, if any, go to the jury. *City & Cnty. of San Francisco v. Coyne*, supra; *City of Perris v. Stamper* (2016) 1 Cal. 5th 576, 594-595. Code of Civil Procedure section 1260.040 authorizes determination of legal and evidentiary issues affecting compensation before trial, including goodwill entitlement issues. *Weiss v. People ex rel. Dept. of Transportation* (2020) 9 Cal.5th 840, 856, 862 fn. 6. The Court finds that Defendant Lion's Market has failed to establish entitlement to compensation for loss of business goodwill under Code of Civil Procedure section 1263.510. Plaintiff's motion is accordingly granted. Defendant is precluded from asserting or presenting evidence in support of a claim for loss of business goodwill in this action. Code of Civ. Proc. § 1258.280. b) GRANTED, in part, and DENIED, in part. Terminating sanctions may be imposed for misuse of the discovery process, including failure to respond to discovery and disobedience of court orders. CCP §§ 2023.010 (d) and (g) & 2023.030. Lion's Market is guilty of violating both sections and therefore prima facie, the court may impose terminating sanctions. However, discovery sanctions are generally imposed in an incremental approach, with terminating sanctions being the last resort. Terminating sanctions for discovery abuses are to be used sparingly because of the drastic effect of their application. *Department of Forestry & Fire Protection v. Howell* (2017) 18 Cal App 5th 154, rehearing denied, review denied. Nevertheless, even under the Civil Discovery Act's incremental approach to imposing discovery sanctions, the trial court may impose terminating sanctions as a first measure in extreme cases, or where the record shows lesser sanctions would be ineffective. *Department of Forestry & Fire Protection v. Howell*, supra. Notably, a decision to order terminating sanctions, as a discovery sanction, should not be made lightly, but where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction. *Creed-21 v. City of Wildomar* (2017) 18 Cal. App. 5th 690, review denied. Thus, the trial court may order a terminating sanction for discovery abuse after considering the totality of the circumstances: the conduct of the party to determine if the actions were willful, the detriment to the propounding party, and the number of formal and informal attempts to obtain the discovery. *Creed-21 v. City of Wildomar*, supra. However, the trial court cannot impose sanctions for misuse of the discovery process as a punishment. *Doppes v. Bentley Motors, Inc.* (2009) 174 Cal. App. 4th 967. Furthermore, discovery sanctions should be appropriate to the dereliction, and they should not exceed that which is required to protect interests of party entitled to but denied discovery. The general approach is to first impose lesser discovery sanctions and if those fail to curb misuse, a greater sanction is warranted: continuing misuses of the discovery process warrant incrementally harsher sanctions until the sanction is reached that will curb the abuse. *City of Los Angeles v. PricewaterhouseCoopers, LLC* (2022) 84 Cal. App. 5th 466. Willful violation of discovery orders is frequently grounds for terminating sanctions. *Los Defensores, Inc. v. Gomez* (2014) 223 Cal. App. 4th 377; *Liberty Mutual Fire Ins. Co. v. LcL Administrators, Inc.* (2008) 163 Cal.App.4th 1093. Notably, Lion's Market does not dispute its violation of court orders and its failure to comply with discovery. It is undisputed that it has failed to respond to said discovery for about a year and has, at least twice previously, been ordered to pay monetary sanctions for discovery abuse. It also disobeyed the Court's order of February 15, 2024, as to three discrete discovery motions to respond to interrogatories, requests for production and to produce documents within 15 days, and only served its responses 6 months later on the eve of the County's motion for terminating sanctions. Indeed, the court's tentative ruling granted the motion for terminating sanctions, reducing same to monetary sanctions only after continuing the matter for a Joint Status Statement confirming Lion Markets production of the ordered discovery. See *Mardikian's Declaration in Support of Motion for Terminating Sanctions*, Exhibits C and D. Lion's Market has also failed to comply with the court's order of August 21, 2024, issued almost a year ago ordering the payment of monetary sanctions of \$1,800 which remains outstanding. The motion is supported by several letters from Counsel for Lion's

Market continuously promising the outstanding discovery. The afore-listed conduct all constitute abuse of the discovery process for which the requested terminating sanctions may be imposed. This case dates back to 2022. Absent Lion's Market's obstinacy and delay in providing the requested information, this issue of goodwill could have been addressed a long time ago. The court finds that Lion's Market has demonstrated an overall nonchalant approach to this matter, as further evidenced by Counsel's brief Opposition herein which did not even attempt to address its conduct or offer any apology to the court. It appears that the previously imposed monetary sanctions have been inadequate to protect the judicial process and support the call for terminating sanctions. Without treating lightly D's non-compliance with the court's orders and discovery abuse herein, the court notes that terminating sanctions are a drastic measure. *Crawford v. JPMorgan Chase Bank* (2015), N.A., 242 Cal. App. 4th 1265, 1271, (as modified on denial of reh'g). In view of the court's order in the related motion to determine legal issues as to Lion Market's inability to adduce evidence regarding the issue of goodwill pursuant to Civ. Proc. Code § 1258.280, the court denies the request for termination and default judgement without prejudice. The court's order barring Lion's Market's from adducing any evidence as to goodwill is tantamount to an issue and evidentiary sanction pursuant Civ. Proc. Code § 2023.030 (b) and (c), which is therefore granted based on Lion's Market's abuse of the discovery process. Monetary sanctions are awarded in the amount of \$4,200.00 against Lion's Market and their attorney of record, Tyler Kelly of The Ogden Law Firm, payable within fourteen days of the date of service of this order. Plaintiff shall submit a Proposed Order no later than July 28, 2026, that complies with the court's ruling.

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Whether the qualifying conditions for compensation for loss of goodwill in eminent domain proceedings have been met is a matter for the trial court to resolve, and only if the court finds these conditions exist does the remaining issue of the value of the goodwill loss, if any, go to the jury. *City & Cnty. of San Francisco v. Coyne*, supra; *City of Perris v. Stamper* (2016) 1 Cal. 5th 576, 594-595.

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The Court finds that Defendant Lion's Market has failed to establish entitlement to compensation for loss of business goodwill under Code of Civil Procedure section 1263.510.

Plaintiff's motion is accordingly granted. Defendant is precluded from asserting or presenting evidence in support of a claim for loss of business goodwill in this action. Code of Civ. Proc. § 1258.280.

b) GRANTED, in part, and DENIED, in part.

Terminating sanctions may be imposed for misuse of the discovery process, including failure to respond to discovery and disobedience of court orders. CCP §§ 2023.010 (d) and (g) & 2023.030.

Lion's Market is guilty of violating both sections and therefore prima facie, the court may impose terminating sanctions.

However, discovery sanctions are generally imposed in an incremental approach, with terminating sanctions being the last resort. Terminating sanctions for discovery abuses are to be used sparingly because of the drastic effect of their application. *Department of Forestry & Fire Protection v. Howell* (2017) 18 Cal App 5th 154, rehearing denied, review denied.

Nevertheless, even under the Civil Discovery Act's incremental approach to imposing discovery sanctions, the trial court may impose terminating sanctions as a first measure in extreme cases, or where the record shows lesser sanctions would be ineffective. *Department of Forestry & Fire Protection v. Howell*, supra.

Notably, a decision to order terminating sanctions, as a discovery sanction, should not be made lightly, but where a violation is willful, preceded by a history of abuse, and the evidence shows that less severe sanctions would not produce compliance with the discovery rules, the trial court is justified in imposing the ultimate sanction. *Creed-21 v. City of Wildomar* (2017) 18 Cal. App. 5th 690, review denied.

Thus, the trial court may order a terminating sanction for discovery abuse after considering the totality of the circumstances: the conduct of the party to determine if the actions were willful, the detriment to the propounding party, and the number of formal and informal attempts to obtain the discovery. *Creed-21 v. City of Wildomar*, supra.

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Notably, Lion's Market does not dispute its violation of court orders and its failure to comply with discovery. It is undisputed that it has failed to respond to said discovery for about a year and has, at least twice previously, been ordered to pay monetary sanctions for discovery abuse. It also disobeyed the Court's order of February 15, 2024, as to three discrete discovery motions to respond to interrogatories, requests for production and to produce documents within 15 days, and only served its responses 6 months later on the eve of the County's motion for terminating sanctions. Indeed, the court's tentative ruling granted the motion for terminating sanctions, reducing same to monetary sanctions only after continuing the matter for a Joint Status Statement confirming Lion Markets production of the ordered discovery. See *Mardikian's Declaration in Support of Motion for Terminating Sanctions*, Exhibits C and D.

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